

STATE OF NEW YORK

1477--A

Cal. No. 1199

2025-2026 Regular Sessions

IN SENATE

January 10, 2025

Introduced by Sens. KRUEGER, BRISPORT, CLEARE, FERNANDEZ, HARCKHAM, MYRIE, RAMOS, SALAZAR, SEPULVEDA, SERRANO -- read twice and ordered printed, and when printed to be committed to the Committee on Judiciary -- recommitted to the Committee on Judiciary in accordance with Senate Rule 6, sec. 8 -- reported favorably from said committee and committed to the Committee on Finance -- reported favorably from said committee, ordered to first and second report, ordered to a third reading, amended and ordered reprinted, retaining its place in the order of third reading

AN ACT to amend the judiciary law and the civil practice law and rules, in relation to the purchase of claims by corporations or collection agencies and to certain instruments calling for payment of a monetary obligation by a foreign state

The People of the State of New York, represented in Senate and Assembly, do enact as follows:

1 Section 1. Legislative intent. The intended purpose of this act is to
2 restore the champerty defense in sovereign debt lawsuits for claims
3 greater than \$500,000 with respect to suits brought by litigious holdout
4 investors. The restoration is not intended to apply to conventional and
5 generally cooperative investors who may occasionally choose to sue,
6 where "conventional investors" includes investors that regularly buy and
7 hold sovereign debt purchased in the primary market and "cooperative
8 investors" includes distressed debt investors that regularly purchase
9 debt at a discount in the secondary market and have a record of support-
10 ing the consensual resolution of sovereign debt distress through serving
11 as a member of creditor committees or by generally participating in
12 transactions accepted by other creditors following a negotiation.
13 § 2. Subdivision 2 of section 489 of the judiciary law, as added by
14 chapter 394 of the laws of 2004, is amended to read as follows:
15 2. Except as set forth in subdivision three of this section, the
16 provisions of subdivision one of this section shall not apply to any

EXPLANATION--Matter in italics (underscored) is new; matter in brackets
[-] is old law to be omitted.

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1 assignment, purchase or transfer hereafter made of one or more bonds,
2 promissory notes, bills of exchange, book debts, or other things in
3 action, or any claims or demands, if such assignment, purchase or trans-
4 fer included bonds, promissory notes, bills of exchange and/or book
5 debts, issued by or enforceable against the same eligible obligor
6 (whether or not also issued by or enforceable against any other eligible
7 obligors), having an aggregate purchase price of at least five hundred
8 thousand dollars, in which event the exemption provided by this subdivi-
9 sion shall apply as well to all other items, including other things in
10 action, claims and demands, included in such assignment, purchase or
11 transfer (but only if such other items are issued by or enforceable
12 against the same eligible obligor, or relate to or arise in connection
13 with such bonds, promissory notes, bills of exchange and/or book debts
14 or the issuance thereof). For the purposes of this subdivision, the
15 term "eligible obligor" means an obligor other than (i) the government
16 of any foreign country or of any political subdivision of a foreign
17 country, or (ii) an issuer of a bond, loan, or debt instrument guaran-
18 teed by the government of any foreign country or of any political subdivi-
19 vision of a foreign country.

20 § 3. Section 489 of the judiciary law is amended by adding a new
21 subdivision 4 to read as follows:

22 4. For purposes of subdivision one of this section, an assignee's
23 intent and purpose in taking an assignment of a claim against an obligor
24 that is not an eligible obligor may be inferred from the history of the
25 assignee's (and its affiliates') behavior in transactions involving the
26 debts of other obligors including, but not limited to, whether that
27 history indicates a pattern of either (a) participating in good faith
28 alongside other creditors in consensual resolutions of such situations
29 or (b) acquiring claims against such obligors at a significant discount
30 from face value, refusing to participate in consensual workouts and
31 instead resorting to legal enforcement of the acquired claims. A court
32 shall consider such other facts and circumstances related to the acqui-
33 sition of the claims or the assignee's overall business activities in
34 the debt of any government or political subdivision of a foreign country
35 as it may find relevant in assessing the assignee's intent and purpose.

36 § 4. Section 5004 of the civil practice law and rules, as amended by
37 chapter 831 of the laws of 2021, is amended to read as follows:

38 § 5004. Rate of interest. (a) Interest shall be at the rate of nine
39 per centum per annum, except where otherwise provided by statute;
40 provided the annual rate of interest to be paid in an action arising out
41 of a consumer debt where a natural person is a defendant shall be two
42 per centum per annum (i) on a judgment or accrued claim for judgments
43 entered on or after the effective date of [~~the~~] chapter eight hundred
44 thirty-one of the laws of two thousand twenty-one [~~which amended this~~
45 ~~section~~], and (ii) for interest upon a judgment pursuant to section five
46 thousand three of this article from the date of the entry of judgment on
47 any part of a judgment entered before the effective date of [~~the~~] chap-
48 ter eight hundred thirty-one of the laws of two thousand twenty-one
49 [~~which amended this section~~] that is unpaid as of such effective date.

50 (b) For actions or proceedings commenced after January first, two
51 thousand twenty-six, excluding actions or proceedings with respect to
52 payment defaults that occurred before January first, two thousand twen-
53 ty-six, the annual rate of interest to be paid in an action arising out
54 of a claim against (i) a government of any foreign country or of any
55 political subdivision of a foreign country, or (ii) an issuer of a bond,
56 loan, or debt instrument guaranteed by the government of any foreign

1 country or of any political subdivision of a foreign country as a
2 defendant shall be equal to the weekly average one-year constant maturi-
3 ty treasury yield, as published by the Board of Governors of the Federal
4 Reserve System, for the calendar week proceeding the date of entry of
5 the judgment awarding damages (28 U.S.C. §1961(a)). For the purpose of
6 this subdivision, a "claim against a foreign state" means a payment
7 claim against a foreign state for monies borrowed or for the foreign
8 state's guarantee of, or other contingent obligation on, monies
9 borrowed; the term "monies borrowed" shall include the following, wheth-
10 er or not it represents the borrowing of money: monies owing
11 under bonds; debentures; notes, or similar instruments of original matu-
12 urity of at least one year; monies owing for the deferred purchase
13 price of property or services, other than trade accounts payable arising
14 in the ordinary course of government operations; monies owing on
15 capitalized lease obligations; monies owing on or with respect to
16 letters of credit, bankers' acceptances, or other extensions of credit
17 of original maturity of at least one year.

18 (c) For the purpose of this section "consumer debt" means any obli-
19 gation or alleged obligation of any natural person to pay money arising
20 out of a transaction in which the money, property, insurance or services
21 which are the subject of the transaction are primarily for personal,
22 family or household purposes, whether or not such obligation has been
23 reduced to judgment, including, but not limited to, a consumer credit
24 transaction, as defined in subdivision (f) of section one hundred five
25 of this chapter.

26 ~~(c)~~ (d) This section does not affect or create any rights or reme-
27 dies related to any amounts paid prior to the effective date of this
28 subdivision, including amounts paid to satisfy judgments or to accrued
29 interest or fees paid, or with respect to judgments satisfied prior to
30 the effective date of this subdivision. For amounts paid prior to the
31 effective date of this subdivision and lawfully applied in satisfaction
32 or partial satisfaction of interest or fees accrued prior to the effec-
33 tive date of this subdivision, this section shall not be construed to
34 require a judgment creditor or sheriff to (i) return or refund such
35 amounts to judgment debtors; or (ii) apply such payments to satisfy any
36 part of a money judgment other than fees or interest upon judgment
37 pursuant to section five thousand three of this article.

38 ~~(d)~~ (e) If any word, phrase, clause, sentence, paragraph, subdivi-
39 sion, or part of this section or its application to any person or
40 circumstance is held invalid by any court of competent jurisdiction
41 after exhaustion of all further judicial review, the invalidity shall
42 not affect, impair, or invalidate the remainder of this section or
43 applications of this article which can be given effect without the
44 invalid provision or application, and to this end the provisions of this
45 section are severable.

46 § 5. This act shall take effect immediately.